BrokerCheck Report

SCOUT TRADING, LLC

CRD# 151990

Section Title	Page(s)
Report Summary	1
Registration and Withdrawal	2
Firm Profile	3 - 7
Firm History	8
Firm Operations	9 - 13
Disclosure Events	14

When communicating online or investing with any professional, make sure you know who you're dealing with. Imposters might link to sites like BrokerCheck from phishing or similar scam websites, or through social media, trying to steal your personal information or your money.

Please contact FINRA with any concerns.

About BrokerCheck®

BrokerCheck offers information on all current, and many former, registered securities brokers, and all current and former registered securities firms. FINRA strongly encourages investors to use BrokerCheck to check the background of securities brokers and brokerage firms before deciding to conduct, or continue to conduct, business with them.

- **What is included in a BrokerCheck report?**
- BrokerCheck reports for individual brokers include information such as employment history, professional qualifications, disciplinary actions, criminal convictions, civil judgments and arbitration awards. BrokerCheck reports for brokerage firms include information on a firm's profile, history, and operations, as well as many of the same disclosure events mentioned above.
- Please note that the information contained in a BrokerCheck report may include pending actions or allegations that may be contested, unresolved or unproven. In the end, these actions or allegations may be resolved in favor of the broker or brokerage firm, or concluded through a negotiated settlement with no admission or finding of wrongdoing.
- **Where did this information come from?**
- The information contained in BrokerCheck comes from FINRA's Central Registration Depository, or CRD® and is a combination of:
    - information FINRA and/or the Securities and Exchange Commission (SEC) require brokers and brokerage firms to submit as part of the registration and licensing process, and
    - information that regulators report regarding disciplinary actions or allegations against firms or brokers.
- **How current is this information?**
- Generally, active brokerage firms and brokers are required to update their professional and disciplinary information in CRD within 30 days. Under most circumstances, information reported by brokerage firms, brokers and regulators is available in BrokerCheck the next business day.
- **What if I want to check the background of an investment adviser firm or investment adviser representative?**
- To check the background of an investment adviser firm or representative, you can search for the firm or individual in BrokerCheck. If your search is successful, click on the link provided to view the available licensing and registration information in the SEC's Investment Adviser Public Disclosure (IAPD) website at https://www.adviserinfo.sec.gov. In the alternative, you may search the IAPD website directly or contact your state securities regulator at http://www.finra.org/Investors/ToolsCalculators/BrokerCheck/P455414.
- **Are there other resources I can use to check the background of investment professionals?**
- FINRA recommends that you learn as much as possible about an investment professional before deciding to work with them. Your state securities regulator can help you research brokers and investment adviser representatives doing business in your state.
-

Thank you for using FINRA BrokerCheck.

Using this site/information means that you accept the FINRA BrokerCheck Terms and Conditions. A complete list of Terms and Conditions can be found at brokercheck.finra.org

For additional information about the contents of this report, please refer to the User Guidance or www.finra.org/brokercheck. It provides a glossary of terms and a list of frequently asked questions, as well as additional resources. For more information about FINRA, visit www.finra.org.

SCOUT TRADING, LLC

CRD# 151990

SEC# 8-68420

Main Office Location

120 WEST 45 STREET
SUITE 3705
NEW YORK, NY 10036

Mailing Address

120 WEST 45 STREET
SUITE 3705
NEW YORK, NY 10036

Business Telephone Number

646 783-7000

Report Summary for this Firm

This report summary provides an overview of the brokerage firm. Additional information for this firm can be found in the detailed report.

Firm Profile

This firm is classified as a limited liability company.

This firm was formed in Delaware on 05/20/2009.

Its fiscal year ends in December.

Firm History

Information relating to the brokerage firm's history such as other business names and successions (e.g., mergers, acquisitions) can be found in the detailed report.

Firm Operations

This brokerage firm is no longer registered with FINRA or a national securities exchange.

Disclosure Events

Brokerage firms are required to disclose certain criminal matters, regulatory actions, civil judicial proceedings and financial matters in which the firm or one of its control affiliates has been involved.

Are there events disclosed about this firm?	**Yes**

The following types of disclosures have been reported:

Type	Count
Regulatory Event	4

©2024 FINRA. All rights reserved.

Registration Withdrawal Information

This section provides information relating to the date the brokerage firm ceased doing business and the firm's financial obligations to customers or other brokerage firms.

Date firm ceased business:	07/17/2014
Does this brokerage firm owe any money or securities to any customer or brokerage firm?	No

©2024 FINRA. All rights reserved.

Firm Profile

This firm is classified as a limited liability company.

This firm was formed in Delaware on 05/20/2009.

Its fiscal year ends in December.

Firm Names and Locations

This section provides the brokerage firm's full legal name, "Doing Business As" name, business and mailing addresses, telephone number, and any alternate name by which the firm conducts business and where such name is used.

SCOUT TRADING, LLC

Doing business as SCOUT TRADING, LLC

CRD# 151990

SEC# 8-68420

Main Office Location

120 WEST 45 STREET
SUITE 3705
NEW YORK, NY 10036

Mailing Address

120 WEST 45 STREET
SUITE 3705
NEW YORK, NY 10036

Business Telephone Number

646 783-7000

©2024 FINRA. All rights reserved.

Firm Profile

This section provides information relating to all direct owners and executive officers of the brokerage firm.

Direct Owners and Executive Officers

Legal Name & CRD# (if any):	FINCH LLC
Is this a domestic or foreign entity or an individual?	Domestic Entity
Position	MEMBER
Position Start Date	08/2012
Percentage of Ownership	75% or more
Does this owner direct the management or policies of the firm?	Yes
Is this a public reporting company?	No

Legal Name & CRD# (if any):	BLEICH, MICHAEL EDWARD 4262671
Is this a domestic or foreign entity or an individual?	Individual
Position	CEO AND MANAGING MEMBER
Position Start Date	05/2009
Percentage of Ownership	Less than 5%
Does this owner direct the management or policies of the firm?	Yes
Is this a public reporting company?	No

Legal Name & CRD# (if any):	MACK, ALEXANDER HERBERT 4805607
Is this a domestic or foreign entity or an individual?	Individual
Position	CHIEF COMPLIANCE OFFICER; FINOP
Position Start Date	10/2011

©2024 FINRA. All rights reserved.

Firm Profile

Direct Owners and Executive Officers (continued)

Percentage of Ownership	Less than 5%
Does this owner direct the management or policies of the firm?	No
Is this a public reporting company?	No

©2024 FINRA. All rights reserved.

Firm Profile

This section provides information relating to any indirect owners of the brokerage firm.

Indirect Owners

Legal Name & CRD# (if any):	BLEICH, MICHAEL EDWARD 4262671
Is this a domestic or foreign entity or an individual?	Individual
Company through which indirect ownership is established	MEB NY INC
Relationship to Direct Owner	SHAREHOLDER
Relationship Established	05/2009
Percentage of Ownership	75% or more
Does this owner direct the management or policies of the firm?	Yes
Is this a public reporting company?	No

Legal Name & CRD# (if any):	MEB NY INC
Is this a domestic or foreign entity or an individual?	Domestic Entity
Company through which indirect ownership is established	FINCH LLC
Relationship to Direct Owner	MEMBER
Relationship Established	08/2012
Percentage of Ownership	50% but less than 75%
Does this owner direct the management or policies of the firm?	Yes
Is this a public reporting company?	No

Legal Name & CRD# (if any):	NAYS LLC
Is this a domestic or foreign	Domestic Entity

©2024 FINRA. All rights reserved.

Firm Profile

Indirect Owners (continued)

entity or an individual?

Company through which indirect ownership is established	FINCH LLC
Relationship to Direct Owner	MEMBER
Relationship Established	08/2012
Percentage of Ownership	25% but less than 50%
Does this owner direct the management or policies of the firm?	Yes
Is this a public reporting company?	No

Legal Name & CRD# (if any):	NIV, DROR
Is this a domestic or foreign entity or an individual?	Individual
Company through which indirect ownership is established	NAYS LLC
Relationship to Direct Owner	MEMBER
Relationship Established	05/2009
Percentage of Ownership	25% but less than 50%
Does this owner direct the management or policies of the firm?	Yes
Is this a public reporting company?	No

©2024 FINRA. All rights reserved.

Firm History

This section provides information relating to any successions (e.g., mergers, acquisitions) involving the firm.

No information reported.

©2024 FINRA. All rights reserved.

Firm Operations

Registrations

This section provides information about the regulators (Securities and Exchange Commission (SEC), self-regulatory organizations (SROs), and U.S. states and territories) with which the brokerage firm is currently registered and licensed, the date the license became effective, and certain information about the firm's SEC registration.

This firm is no longer registered.

The firm's registration was from 11/17/2009 to 09/19/2014.

©2024 FINRA. All rights reserved.

Firm Operations

Types of Business

This section provides the types of business, including non-securities business, the brokerage firm is engaged in or expects to be engaged in.

This firm currently conducts 1 type of business.

Types of Business

Trading securities for own account

©2024 FINRA. All rights reserved.

Firm Operations

Clearing Arrangements

This firm does not hold or maintain funds or securities or provide clearing services for other broker-dealer(s).

Introducing Arrangements

This firm does not refer or introduce customers to other brokers and dealers.

©2024 FINRA. All rights reserved.

Firm Operations

Industry Arrangements

This firm does not have books or records maintained by a third party.

This firm does have accounts, funds, or securities maintained by a third party.

Name:	WEDBUSH SECURITIES INC.
CRD #:	877
Business Address:	1000 WILSHIRE BOULEVARD LOS ANGELES, CA 90017
Effective Date:	07/21/2009
Description:	WEDBUSH HOLDS FIRM ASSETS

This firm does not have customer accounts, funds, or securities maintained by a third party.

Control Persons/Financing

This firm does not have individuals who control its management or policies through agreement.

This firm does not have individuals who wholly or partly finance the firm's business.

©2024 FINRA. All rights reserved.

Firm Operations

Organization Affiliates

This section provides information on control relationships the firm has with other firms in the securities, investment advisory, or banking business.

This firm is, directly or indirectly:

- **in control of**
- **controlled by**
- **or under common control with**

the following partnerships, corporations, or other organizations engaged in the securities or investment advisory business.

OPHIR PARTNERS LLC is under common control with the firm.

Business Address:	120 WEST 45TH ST. SUITE 3705 NEW YORK, NY 10036
Effective Date:	06/01/2012
Foreign Entity:	No
Country:	
Securities Activities:	No
Investment Advisory Activities:	Yes
Description:	BOTH SCOUT TRADING AND OPHIR PARTNERS ARE 100% OWNED BY FINCH LLC. SCOUT TRADING AND OPHIR PARTNERS HAVE THE SAME CEO, CCO, AND CFO.

This firm is not directly or indirectly, controlled by the following:

- **bank holding company**
- **national bank**
- **state member bank of the Federal Reserve System**
- **state non-member bank**
- **savings bank or association**
- **credit union**
- **or foreign bank**

©2024 FINRA. All rights reserved.

Disclosure Events

All firms registered to sell securities or provide investment advice are required to disclose regulatory actions, criminal or civil judicial proceedings, and certain financial matters in which the firm or one of its control affiliates has been involved. For your convenience, below is a matrix of the number and status of disclosure events involving this brokerage firm or one of its control affiliates. Further information regarding these events can be found in the subsequent pages of this report.

	Pending	Final	On Appeal
Regulatory Event	0	4	0

©2024 FINRA. All rights reserved.

Disclosure Event Details

What you should know about reported disclosure events:

1. **BrokerCheck provides details for any disclosure event that was reported in CRD. It also includes summary information regarding FINRA arbitration awards in cases where the brokerage firm was named as a respondent.**
2. **Certain thresholds must be met before an event is reported to CRD, for example:**
   - A law enforcement agency must file formal charges before a brokerage firm is required to disclose a particular criminal event.
3. **Disclosure events in BrokerCheck reports come from different sources:**
   - Disclosure events for this brokerage firm were reported by the firm and/or regulators. When the firm and a regulator report information for the same event, both versions of the event will appear in the BrokerCheck report. The different versions will be separated by a solid line with the reporting source labeled.
4. **There are different statuses and dispositions for disclosure events:**
   - A disclosure event may have a status of *pending, on appeal,* or *final.*
     - A "pending" event involves allegations that have not been proven or formally adjudicated.
     - An event that is "on appeal" involves allegations that have been adjudicated but are currently being appealed.
     - A "final" event has been concluded and its resolution is not subject to change.
   - A final event generally has a disposition of *adjudicated, settled* or *otherwise resolved.*
     - An "adjudicated" matter includes a disposition by (1) a court of law in a criminal or civil matter, or (2) an administrative panel in an action brought by a regulator that is contested by the party charged with some alleged wrongdoing.
     - A "settled" matter generally involves an agreement by the parties to resolve the matter. Please note that firms may choose to settle customer disputes or regulatory matters for business or other reasons.
     - A "resolved" matter usually involves no payment to the customer and no finding of wrongdoing on the part of the individual broker. Such matters generally involve customer disputes.
5. **You may wish to contact the brokerage firm to obtain further information regarding any of the disclosure events contained in this BrokerCheck report.**

Regulatory - Final

This type of disclosure event involves (1) a final, formal proceeding initiated by a regulatory authority (e.g., a state securities agency, self-regulatory organization, federal regulator such as the U.S. Securities and Exchange Commission, foreign financial regulatory body) for a violation of investment-related rules or regulations; or (2) a revocation or suspension of the authority of a brokerage firm or its control affiliate to act as an attorney, accountant or federal contractor.

Disclosure 1 of 4

Reporting Source:	Regulator
Current Status:	Final

©2024 FINRA. All rights reserved.

Allegations:

WITHOUT ADMITTING OR DENYING THE FINDINGS, THE FIRM CONSENTED TO THE SANCTIONS AND TO THE ENTRY OF FINDINGS THAT IT ENGAGED IN A SYSTEMIC, RECURRING AND CYCLICAL 'NAKED' REDEMPTION AND SHORT SALE TRADING STRATEGY THAT RESULTED IN ITS FAILURE TO TIMELY DELIVER EXCHANGE-TRADED FUND (ETF) SHARES ASSOCIATED WITH ITS ORDERS TO REDEEM CREATION UNIT(S) IN THOSE ETFS AND ITS SHORT SALES OF SUCH ETF SHARES ON THE SECONDARY MARKET. THE FINDINGS STATED THAT IN THAT CONNECTION, THE FIRM ROUTINELY SUBMITTED REDEMPTION ORDERS TO THE CLEARING FIRM, WHICH ALSO SERVED AS THE AUTHORIZED PARTICIPANT FOR SUCH ETFS, WHEN THE FIRM WAS INSUFFICIENTLY LONG THE ETF SHARES COMPRISING ITS REDEMPTION ORDER. THE FIRM REPEATEDLY SUBMITTED NAKED REDEMPTION ORDERS USING A TRADING STRATEGY AND ENGAGED IN SUCH OPEN MARKET SHORT SELLING AS A MEANS TO MAINTAIN A SHORT POSITION IN THOSE ETFS, BECAUSE IT WAS FINANCIALLY MORE BENEFICIAL TO DO SO DUE TO THE ECONOMIC DECAY ASSOCIATED WITH SUCH FUNDS AS A RESULT OF CERTAIN ASYMMETRIC FEE BIASES ASSOCIATED WITH THE ETF MARKET WHEREBY IT WAS ECONOMICALLY MORE ADVANTAGEOUS TO MAINTAIN A SHORT POSITION VERSUS A LONG POSITION. TO SUM, THE FIRM'S NAKED REDEMPTION STRATEGY WAS DESIGNED TO MAXIMIZE THE NUMBER OF DAYS THE FIRM REMAINED IN A SHORT POSITION FOR THE FIRM'S FINANCIAL BENEFIT. THE EXTENT AND MAGNITUDE OF THE FIRM'S NAKED REDEMPTION/SHORT SELLING ACTIVITY IN THE SUBJECT ETFS WAS SIGNIFICANT. THE MARKET VALUE OF THE SUBSET OF ETF SHARES COMPRISING THE REDEMPTION ORDER IN EXCESS OF THE FIRM'S POSITION AVERAGED ALMOST $23 MILLION. THE FIRM'S NAKED REDEMPTION ACTIVITY CONSISTENTLY RESULTED IN FAILS BY THE CLEARING FIRM THROUGH THE CONTINUOUS NET SETTLEMENT SYSTEM. THE FIRM TYPICALLY RECEIVED MULTIPLE BUY-IN NOTICES WEEKLY REQUIRING CLOSE-OUT ACTIONS ASSOCIATED WITH THE CLEARING FIRM'S FAILS ARISING FROM ITS ETF ACTIVITY, WHICH THE FIRM CONSISTENTLY RESPONDED TO BY TYPICALLY SUBMITTING AN ORDER TO ESTABLISH ETF CREATION UNITS (OR, IN SOME CASES, PURCHASING ETF SHARES ON THE SECONDARY MARKET) ON THE MORNING OF T+6 (AND ENGAGING IN NAKED REDEMPTION/SHORT SELLING ACTIVITY THROUGH THE CLEARING FIRM TO RESET THE SHORT ON T+7 AND THEREAFTER FAIL). THE FIRM'S TRADING INVOLVING CHRONIC FAILS TO DELIVER IN ETF SHARES RESULTING FROM ITS ABOVE NAKED TRADING STRATEGY CONSTITUTED A SIGNIFICANT FACTOR IN THE 14 ETFS UNDER REVIEW BEING CLASSIFIED AS THRESHOLD SECURITIES UNDER REGULATION SHO FOR SUSTAINED TIMEFRAMES. THE FINDINGS ALSO STATED THAT THE FIRM LACKED ANY SUPERVISORY PROCEDURES, INCLUDING WRITTEN SUPERVISORY PROCEDURES SPECIFIC TO COMPLIANCE WITH RULE 204 OF REGULATION SHO, OR SPECIFIC TO THE FIRM'S ETF REDEMPTION/CREATION ACTIVITIES TO REASONABLY ENSURE

©2024 FINRA. All rights reserved.

	COMPLIANCE OF THOSE ACTIVITIES WITH APPLICABLE SECURITIES LAWS AND REGULATIONS MORE GENERALLY. AS A RESULT OF ITS CONDUCT, THE FIRM VIOLATED RULE 204 OF REGULATION SHO AND NASDAQ RULES 2110 AND 3010.
Initiated By:	NASDAQ STOCK MARKET
Date Initiated:	04/07/2015
Docket/Case Number:	2010024386601
Principal Product Type:	Other
Other Product Type(s):	EXCHANGE-TRADED FUNDS
Principal Sanction(s)/Relief Sought:	
Other Sanction(s)/Relief Sought:	
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	04/07/2015
Does the order constitute a final order based on violations of any laws or regulations that prohibit fraudulent, manipulative, or deceptive conduct?	No
Sanctions Ordered:	Censure Monetary/Fine $3,000,000.00
Other Sanctions Ordered:	
Sanction Details:	THE FIRM WAS CENSURED AND FINED $3,000,000.

Disclosure 2 of 4

Reporting Source:	Regulator
Current Status:	Final
Allegations:	SCOUT TRADING, LLC ("SCOUT"), A CBOE STOCK EXCHANGE, LLC ("CBSX") TPH ORGANIZATION, WAS CENSURED AND FINED $5,000 FOR THE FOLLOWING CONDUCT. SCOUT FAILED TO ESTABLISH, MAINTAIN AND ENFORCE WRITTEN POLICIES AND PROCEDURES REASONABLY DESIGNED TO PREVENT TRADE-THROUGHS ON A TRADING CENTER OF PROTECTED QUOTATIONS IN NMS STOCKS THAT DO NOT FALL WITHIN AN EXCEPTION SET FORTH IN PARAGRAPH (B) OF REGULATION NMS RULE

©2024 FINRA. All rights reserved.

	611 AND THAT ARE REASONABLY DESIGNED TO ASSURE COMPLIANCE WITH THE TERMS OF ANY EXEMPTION. IN ADDITION, SCOUT FAILED TO REGULARLY SURVEIL TO ASCERTAIN THE EFFECTIVENESS OF THE POLICIES AND PROCEDURES AND TAKE PROMPT ACTION TO REMEDY DEFICIENCIES IN SUCH POLICIES AND PROCEDURES. (EXCHANGE RULE 4.2 - ADHERENCE TO LAW; AND REGULATION NMS RULE 611 - ORDER PROTECTION RULE)
Initiated By:	CHICAGO BOARD OPTIONS EXCHANGE
Date Initiated:	04/10/2014
Docket/Case Number:	14-0018
Principal Product Type:	Options
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Decision & Order of Offer of Settlement
Resolution Date:	05/23/2014
Sanctions Ordered:	Censure Monetary/Fine $5,000.00
Other Sanctions Ordered:	
Sanction Details:	A $5,000 FINE AND A CENSURE.

Reporting Source:	Firm
Current Status:	Final
Allegations:	ALLEGATION THAT SCOUT'S REGULATION NMS PROCEDURES WERE NOT REASONABLY DESIGNED TO PREVENT TRADETHROUGHS OF PROTECTED QUOTATIONS, AND THAT SCOUT DID NOT REGULARLY REVIEW AND IMPROVE ITS PROCEDURES IN THIS AREA.
Initiated By:	CHICAGO BOARD OPTIONS EXCHANGE
Date Initiated:	04/10/2014
Docket/Case Number:	14-0018
Principal Product Type:	Equity Listed (Common & Preferred Stock)

©2024 FINRA. All rights reserved.

Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Censure
Other Sanction(s)/Relief Sought:	$5000 FINE
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	05/23/2014
Sanctions Ordered:	Censure Monetary/Fine $5,000.00
Other Sanctions Ordered:	
Sanction Details:	A $5000 FINE AND A CENSURE.

Disclosure 3 of 4

Reporting Source:	Regulator
Current Status:	Final
Allegations:	SCOUT TRADING FAILED TO DESIGNATE A CHIEF COMPLIANCE OFFICER ON SCHEDULE A OF ITS FORM BD. IN ADDITION, SCOUT TRADING FAILED TO REGISTER THE MINIMUM NUMBER OF INDIVIDUALS REQUIRED TO REGISTER AS A PROPRIETARY TRADER PRINCIPAL (TP) IN WEBCRD BY NOVEMBER 5, 2011.
Initiated By:	CHICAGO BOARD OPTIONS EXCHANGE
Date Initiated:	11/14/2012
Docket/Case Number:	12-0099 AND 12-0126
Principal Product Type:	Options
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Decision & Order of Offer of Settlement
Resolution Date:	06/26/2013
Sanctions Ordered:	Censure Monetary/Fine $7,500.00

©2024 FINRA. All rights reserved.

Other Sanctions Ordered:	
Sanction Details:	A $7,500 FINE AND A CENSURE.

Reporting Source:	Firm
Current Status:	Final
Allegations:	SCOUT TRADING DID NOT RECORD ITS CCO ON FORM BD SCHEDULE A, AND DID NOT REGISTER ITS TWO GENERAL SECURITIES PRINCIPALS AS PROPRIETARY TRADER PRINCIPALS ON FORMS U4.
Initiated By:	CHICAGO BOARD OPTIONS EXCHANGE
Date Initiated:	11/14/2012
Docket/Case Number:	12-0099 AND 12-0126
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Decision & Order of Offer of Settlement
Resolution Date:	06/26/2013
Sanctions Ordered:	Censure Monetary/Fine $7,500.00
Other Sanctions Ordered:	
Sanction Details:	A $7,500 FINE AND A CENSURE.

Disclosure 4 of 4

Reporting Source:	Regulator
Current Status:	Final
Allegations:	SCOUT TRADING, LLC ("SCOUT"), A CBSX TRADING PERMIT HOLDER, WAS CENSURED AND FINED $10,000 FOR THE FOLLOWING CONDUCT. SCOUT ON NUMEROUS OCCASIONS AND IN NUMEROUS SECURITIES, FAILED TO PROVIDE AND MAINTAIN A TWO-SIDED 100-SHARE QUOTE IN ITS REMOTE MARKET-MAKER ASSIGNMENT. (EXCHANGE RULE 53.23 - OBLIGATIONS OF CBSX REMOTE MARKET-MAKERS)

©2024 FINRA. All rights reserved.

Initiated By:	CHICAGO BOARD OPTIONS EXCHANGE
Date Initiated:	08/29/2012
Docket/Case Number:	12-0059
Principal Product Type:	Options
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Decision & Order of Offer of Settlement
Resolution Date:	01/28/2013
Sanctions Ordered:	Censure Monetary/Fine $10,000.00
Other Sanctions Ordered:	
Sanction Details:	A $10,000 FINE AND A CENSURE

Reporting Source:	Firm
Current Status:	Final
Allegations:	ALLEGED VIOLATIONS OF CBOE RULE 53.23.01(A), FAILURE OF THE FIRM TO MAINTAIN A TWO-SIDED QUOTE IN ITS REGISTERED MARKET MAKER ASSIGNMENTS.
Initiated By:	CHICAGO BOARD OPTIONS EXCHANGE
Date Initiated:	08/29/2012
Docket/Case Number:	12-0059
Principal Product Type:	Equity Listed (Common & Preferred Stock)
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Censure
Other Sanction(s)/Relief Sought:	$10,000 FINE
Resolution:	Settled

©2024 FINRA. All rights reserved.

Resolution Date:	01/28/2013
Sanctions Ordered:	Censure Monetary/Fine $10,000.00
Other Sanctions Ordered:	
Sanction Details:	$10,000 FINE LEVIED AGAINST SCOUT TRADING, PAID IN FULL 02/04/2013.
Firm Statement	SETTLEMENT ACCEPTED 01/28/13

©2024 FINRA. All rights reserved.

End of Report

This page is intentionally left blank.

©2024 FINRA. All rights reserved.